What did I do wrong?

- Lesson: Entry was much too late, with price climbing too far above the optimum entry. The optimum entry was the opening price the day after the breakout (the day after D, not A) or using a buy stop to enter a penny above line C.
- Lesson: Was the stop located properly? I believe I placed the stop below a minor low situated between peaks D and A and below round-number support at 17 (stop placed at 16.93). Given that I took a loss, it kept the loss to 7% when it could have been as much as 13%. So I think it was properly placed.
- Lesson: What was the target? I didn't dwell on this in my notebook, which was a mistake. I only made mention of overhead resistance at E, 19.50. That didn't allow for much profit, but my guess is this wasn't a swing trade but rather intended as an investment, for a longer term hold. The ultimate high, H, was 21.27 or 17.6% above my buy price. That's fine for a perfect swing trade, but real life suggests I wouldn't sell there, so I often shoot for a higher target (like doubling my money) for a longer term hold. I didn't mention what the target was. In other words, besides a stop, I had no exit plan.

Sample Trade

Joshua made the trade shown in **Figure 63.5**. In late October (after an upward breakout), he noticed the three rising valleys pattern labeled 1, 2, and 3. Since price at point 4 dropped below point 3, it made him nervous trading the pattern. However, he liked that price tested the point 1 low (at 4) but rebounded (one of three conditions signaling a trend change; the other two being price pushing up through a down-sloping trendline and a close above a prior minor high).

He waited to buy the stock until the trend direction became clear. At point 6, he saw the second three rising valleys chart pattern (4, 5, 6). Then he noticed the symmetrical triangle, created by drawing trendlines along the price peaks and valleys. Looking to the left, the turns at 3 and 7 connect with the symmetrical triangle to form a weird-looking diamond.